MK FRAUD INSIGHTS

FRAUD READINESS · ESSENTIAL

Fraud Readiness Report

Fictional Retail Group (overstated confirmations)

Assessment reference FX-P6b

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Confidential. Prepared for the management of Fictional Retail Group (overstated confirmations).

Fictional prototype for MK review. The organisation is fictional, calculated figures are labelled test results, and this is not a customer report or a certified paid report.

About this report

This report sets out what the organisation's own answers establish about its fraud controls, what those answers mean for management, and what should happen first. It opens with the position and the reasons for it, develops the findings that need leadership attention, shows how fraud could exploit them, and closes with the first responses and a ninety-day plan. The supporting workbook holds the complete registers and the detailed control specifications.

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EXECUTIVE SUMMARY

The answers describe a strong control environment, but several of the practices beneath them do not yet support it

On its own answers, the group reports the core controls in place for 96 of the 106 fraud scenarios that apply to a retail and wholesale business of its size, and a control reported as a gap in only four. Read at face value, that describes an environment in which almost every route to fraud that the method considers has its principal control in place, from governance and finance through to customers and digital channels.

The detail beneath those answers is less settled than the headline. In 15 of the scenarios reported as covered, a practice that defends against the same scenario is reported weaker than the core control itself. Those answers can stand together, but they describe controls with less support around them than their own answers imply. In one further scenario the answers cannot both be right, and in five more the answers raise a question that they do not settle. Until those six are resolved, the controls concerned cannot be treated as covering their scenarios, however firmly the core answer is expressed.

The environment is therefore even on the surface and uneven underneath. The firmest answers are in fraud governance and accountability, in finance and banking, in customers and revenue, and in digital and identity fraud, where every core control is reported in place. The least settled answers are in the fraud risk assessment itself, where an answer about AI-enabled fraud contradicts another and a question about how risks above tolerance are identified remains open. Smaller doubts appear in procurement, payroll, stock and investigations.

Three patterns explain most of this. The first is that the answers claim more than the practices behind them support, which matters because fraud tends to operate in exactly the space between how a control is described and how it is run. The second is that the fraud risk assessment, the instrument that should find such gaps, is itself where the answers are least consistent. The third is that no independent review examines procurement or payroll, the processes where a stronger answer than the practice supports would otherwise be caught.

In fraud terms, the risk is false comfort. A board that receives a position built on these answers would believe that invoices are matched to what was received, that stock counts reveal losses, that people in sensitive roles cannot conceal an ongoing fraud and that AI-generated instructions have been anticipated. Each of those beliefs rests on an answer that is either in doubt or not yet explained, and each describes a route by which money or goods could leave the organisation while its records continue to look correct.

Management's first step is to establish the facts. Within the first thirty days, the fraud risk lead should settle which of the AI-related answers is correct, and the process owners should answer the five open questions in writing, correcting the assessment wherever an answer proves to be wrong. In parallel, the controls reported as gaps should be designed and assigned: a monthly senior review of supplier payments, link checks before any donation or sponsorship, supervisor approval of hours before they are paid, and the tracking of losses by location. None of these steps requires new systems, and together they would allow the board to rely on the position rather than simply receive it.

No question in the assessment remains outstanding, so the uncertainty here concerns the consistency of the answers rather than missing information. This summary states what the answers establish and what must be settled before they can be relied on.

WHAT THE ASSESSMENT ESTABLISHES

CALCULATED TEST RESULT

87.8 of 100 TEST FIXTURE

The arithmetic result of the answers under the method's scoring frame, shown for traceability. It carries no band.

UNRESOLVED INCONSISTENCIES

1 to settle; 5 to clarify

1 scenario has answers that cannot both be right. A further 5 scenarios raise questions the answers do not settle. Until they are settled, the controls concerned are not treated as covering their scenarios.

PROVISIONAL MANAGEMENT INTERPRETATION

4 with a control reported as a gap

On its own answers, the organisation reports the core control in place for 96 of the 106 fraud scenarios that apply; 6 more have answers to settle or clarify; and 4 have a core control reported as a gap.

APPROVED READINESS CONCLUSION

None issued

MK states its readiness conclusion here under its approved readiness method. Until then the report sets out what the answers establish.

The four statements are kept separate: the calculated result is arithmetic, the inconsistencies and the interpretation come from the organisation's own answers, and the readiness conclusion is MK's.

READINESS PROFILE

Most areas report their controls in place, and the doubts gather around the fraud risk assessment

The profile shows, for each of the ten areas, how the scenarios that apply divide between controls reported in place, controls in place with a weaker related practice, answers to settle or clarify, and controls reported as gaps. In four areas every core control is reported in place: fraud governance and accountability, finance, banking and financial reporting, customers, revenue and products and digital, cyber-enabled and identity fraud. Those areas carry a large share of the scenarios that involve money leaving the organisation, which is why the overall picture looks strong.

READINESS PROFILE: FRAUD SCENARIOS BY AREA

AREA	SCENARIOS THAT APPLY	CORE CONTROLS IN PLACE	TEST FIGURE
Fraud governance and accountability		12 of 12	90.0
Fraud risk assessment		4 of 6	91.7
Ethics, integrity and anti-corruption		9 of 10	81.0
Third parties and supply chain		11 of 13	85.7
People, payroll and insider risk		9 of 11	89.1
Finance, banking and financial reporting		12 of 12	92.5
Customers, revenue and products		10 of 10	92.0
Assets, cash and inventory		8 of 10	82.0
Digital, cyber-enabled and identity fraud		14 of 14	87.1
Detection, speak-up and response		7 of 8	86.7

Core controls reported in place · In place, related practice weaker · Answers to settle or clarify · Core control reported as a gap

Each bar shows the fraud scenarios in the method that apply to the organisation in that area, by what its answers report about the controls that stop them. Areas appear in the method's order. Test figures are the calculated result for each area, shown for traceability; they are not scores and carry no band.

The fraud risk assessment stands apart from the rest. It is a small area, but four of its six scenarios have an answer to settle, a question to clarify or a related practice reported weaker, which is a higher proportion than anywhere else. Because the risk assessment is

the process through which management decides where its controls need to be strongest, doubt here affects how much weight every other answer can bear.

Elsewhere the pattern is narrow and specific. The four scenarios with a control reported as a gap fall one in each of ethics, third parties, people and assets, and the questions to clarify fall in procurement, payroll, stock and investigations. None of these areas is weak in general; each has one or two answers that do not yet fit with the rest, and the findings that follow take them one at a time.

WHAT IS DRIVING THE POSITION

Three patterns explain the position, and each concerns how far the answers can be relied on

The profile shows where the doubts lie; it does not explain why they matter together. The patterns below draw the individual answers into a management view, and each ends with what it asks of leadership.

ACROSS THE ORGANISATION

The answers claim more than the practices behind them support

Across the assessment, 15 scenarios have their core control reported in place while a practice that defends against the same scenario is reported weaker, five raise a question that the answers leave open, and one contains answers that cannot both be right. The pattern runs through every area. It is not a sign that the controls are absent; it is a sign that the answers were given at the level of the policy or the intention, while the questions about how the control runs in practice were answered more cautiously.

This matters because a control described more fully than it operates gives management confidence it has not earned. The stock count reported as independent and blind is an example: it can reveal a loss only if there is an expected quantity to compare it with, and the answers report that stock is not formally kept on record. The control may exist exactly as described and still be unable to do its job.

For leadership, the implication is that the position should not be reported upward as it stands. The process owners who gave the cautious answers are the people best placed to say how each control actually runs, and their written answers are the quickest route to a position the board can rely on.

FRAUD RISK ASSESSMENT

The fraud risk assessment may not be seeing the risks it reports covering

The fraud risk assessment is reported as covering AI-enabled schemes in every relevant process, yet the same assessment is reported as not asking, for high-risk processes, how AI could be used against them. Both cannot be true. Separately, the assessment is reported as deciding a response for every risk above tolerance, while rating each risk for likelihood and harm is reported as not in place, which leaves open how management knows which risks are above tolerance at all.

The risk assessment is where management decides which fraud scenarios deserve the strongest controls. If it does not consider how AI could defeat controls that rely on recognising a voice, a face or a document, and if it has no consistent way of identifying the risks that exceed tolerance, then the strength reported elsewhere may be in the wrong places. The concern is less about any single control and more about whether the assessment is directing effort where the exposure lies.

Leadership should ask the fraud risk lead to settle the AI answers first and to explain, in writing, how risks above tolerance are identified today. Both answers will determine whether the assessment can be relied on as the basis for the rest of the programme.

THIRD PARTIES AND SUPPLY CHAIN · PEOPLE, PAYROLL AND INSIDER RISK

Nothing independent examines the processes where the answers are least secure

Independent review of procurement and independent review of payroll are both reported weaker than in place, across third parties and supply chain and people, payroll and insider risk. These are the two processes in which most of the questions to clarify arise: how receipt is confirmed before invoices are paid, and how block leave reaches every sensitive role.

An independent review is the control that would normally reveal a gap between an answer and a practice. Without it, the organisation depends on the people who run procurement and payroll to describe their own controls accurately, which is the dependence the other patterns call into question.

The implication is that the organisation should decide how procurement and payroll will be examined independently, whether by a manager from another area, by internal audit or through an external engagement, before the position in those areas is reported as settled.

THE FINDINGS THIS REPORT DEVELOPS

Seven findings need leadership attention before the position is relied on

Six of the findings below are scenarios whose answers must be settled or clarified before the controls concerned can be relied on, and the remaining one is the scenario in which the absence of independent review is most visible. They are presented in the order of the method's areas, which is not a ranking. The full register of findings, with every answer behind it, is in the supporting workbook.

FRAUD RISK ASSESSMENT

The answers about AI-enabled fraud cannot both be right

The assessment reports that AI-enabled schemes, including deepfake instructions, synthetic identities and generated documents, are assessed for every relevant process, and also that the assessment does not ask how AI could be used against high-risk processes.

Only one of these answers can describe how the assessment works. If the first is right, the high-risk processes have been examined for AI-enabled attack and the second answer was given in error. If the second is right, the assessment has not considered AI in the processes where an attack would do the most harm, and the related practices reported weaker, such as testing controls against AI-generated fakes and simulating an AI attack, confirm that the work has not yet been done.

In fraud terms, AI-enabled schemes defeat controls that rely on recognising a person or a document. A payment instruction in a cloned voice, a supplier onboarded with generated documents or a synthetic identity that passes a visual check would each pass through a control that appears to have worked. Management should not report AI-enabled fraud as assessed until the fraud risk lead has established which answer is correct and recorded it.

POSITION	CORE CONTROL	OWNER	FIRST RESPONSE
Answers that cannot both be right	AI-enabled fraud covered: in place	Fraud risk lead	30 days (proposed)

FRAUD RISK ASSESSMENT

The assessment decides responses to risks above tolerance without a stated way of identifying them

A response is reported as decided for every fraud risk above tolerance, while rating each risk for likelihood and harm is reported as not in place.

Risks above tolerance can be identified without numerical ratings, for example by a tolerance statement or a documented management judgement, so the two answers are not necessarily in conflict. They do leave a question that matters: without ratings, how does management decide which risks exceed tolerance and therefore need a decided response? Where that judgement is informal, it is likely to be applied unevenly, and the risks that receive attention may be those that are most familiar rather than those that are most exposed.

The consequence is that assessment results may not change controls, audit work or training in the places they should. The fraud risk lead should set out in writing how risks above tolerance are identified today, so that management can judge whether the method is sound before relying on it.

POSITION	CORE CONTROL	OWNER	FIRST RESPONSE
A question the answers leave open	Response decided: in place	Fraud risk lead	30 days (proposed)

THIRD PARTIES AND SUPPLY CHAIN

Invoices are reported as matched to receipt, but receipt is not always recorded before payment

Every invoice is reported as checked against an approved order and a confirmation of receipt before payment, while recording receipt of goods before payment is reported as only partly in place, and confirmation by the person who received a service is reported as not in place.

The invoice check may rely on another form of confirmation where receipt is not recorded, such as an email from the person who ordered the goods or a manager's sign-off for a service. The answers do not say which. Until they do, management cannot tell whether the three-way match is matching against something independent of the invoice or against an approval given by the person who requested the purchase.

This is the route by which overbilling, fictitious deliveries and inflated rates are paid. A supplier who invoices for more than was delivered relies on the invoice being approved by someone who did not see the delivery. The finance lead should state, for goods and for services, what confirmation the invoice check relies on and who gives it, so that the strength of the match can be judged.

POSITION	CORE CONTROL	OWNER	FIRST RESPONSE
A question the answers leave open	Three-way match: in place	Finance lead	30 days (proposed)

PEOPLE, PAYROLL AND INSIDER RISK

Block leave is reported for every sensitive role, but the roles are not identified on a maintained list

Block leave is reported as required for everyone in a sensitive role, while identifying high-risk roles on a maintained list is reported as only partly in place.

The requirement can reach every sensitive role without a list if the roles are well understood, so the answers do not contradict each other. The difficulty is assurance: without a list, management has no way of confirming that the requirement reaches every person whose absence would expose a concealed fraud. Several related practices are also reported weaker, including the separation of conflicting duties during cover, a fair route for concerns and support for staff under financial pressure.

An insider who never hands over their work can sustain a fraud indefinitely, because the scheme needs continuous attention that only they provide. The HR and payroll lead should explain how management confirms that block leave reaches every sensitive role and, if it cannot, maintain the list that would allow it to.

POSITION	CORE CONTROL	OWNER	FIRST RESPONSE
A question the answers leave open	Block leave required: in place	HR and payroll lead	30 days (proposed)

ASSETS, CASH AND INVENTORY

Stock counts are reported as independent and blind, but stock is not formally recorded

Counts are reported as carried out by people independent of the stores team, without sight of system quantities, while stock is reported as not formally recorded.

A count reveals a loss only when it is compared with an expected quantity. Where stock is not kept on a formal record, that expected quantity has to come from somewhere else, such as purchases less sales, and the answers do not say what each count is compared with. Several practices that would support the count are also reported weaker, including limiting access to stores, issuing stock only against approved requests and explaining differences before adjusting the records.

The independence of the count may be genuine and still leave theft undetected, because there is nothing for the count to disagree with. The finance lead should establish what each count is compared with and how differences are investigated, before the count is described to the board as a control over stock loss.

POSITION	CORE CONTROL	OWNER	FIRST RESPONSE
A question the answers leave open	Independent blind counts: in place	Finance lead	30 days (proposed)

DETECTION, SPEAK-UP AND RESPONSE

Investigations are reported as independent, but line management or HR investigates suspected fraud

Every investigation is reported as carried out by people independent of the area and the people concerned, and suspected fraud is reported as investigated by line management or HR.

Both can be right if HR, or a manager from another area, carries out the investigation. They would conflict if a line manager ever investigates a matter in the area they manage. The answers do not say whether that happens.

An investigation conducted by someone close to the matter may reach a conclusion that does not withstand a disciplinary hearing or a court, and a report that reaches a manager who is implicated may be closed without action. The question also bears on the group's legal duties. Where section 34 of PRECCA applies, the matter must be reported to the police, and a criminal case rests on an investigation that a court will examine. The investigations lead should state whether line managers ever investigate their own area and, where they do, how independence is achieved.

POSITION	CORE CONTROL	OWNER	FIRST RESPONSE
A question the answers leave open	Investigators independent: in place	Investigations lead	30 days (proposed)

THIRD PARTIES AND SUPPLY CHAIN

Supplier payments are reviewed only in some areas, so patterns across payments can pass unseen

A senior review of supplier payments is reported as in place only in some areas, cases or periods, and the related practices of monitoring split orders, reviewing payment data for unusual patterns and independently reviewing procurement are reported weaker.

Each order and each invoice may pass its own checks while the pattern across them goes unnoticed: purchases split to stay under an approval limit, an invoice submitted twice, or a payment to an unfamiliar supplier. These are the weaknesses that only a review of the payments as a whole can reveal, and the review is the control reported absent across part of the organisation.

This is the clearest example of the independent-review pattern, and it is also one of the four controls reported as a gap. The finance lead should extend a monthly senior review of supplier payments to every area, carried out by someone who does not process payments, with each query followed up and recorded.

POSITION	CORE CONTROL	OWNER	FIRST RESPONSE
A core control reported as a gap	Senior review of supplier payments: partly in place	Finance lead	60 days (proposed)

HOW FRAUD EXPOSURE COULD MATERIALISE

If the open answers resolve the weaker way, three routes to loss remain open

The findings do not operate independently. Where an answer proves weaker than reported, it can combine with another weakness so that one provides the opportunity and the other delays discovery. The pathways below illustrate how that could happen in this organisation. They are plausible sequences built from the answers and the method's scenarios; they do not suggest that any of these events has occurred.

FRAUD PATHWAY · THIRD PARTIES AND SUPPLY CHAIN

A supplier invoices for more than it delivered, and the approval makes the payment look correct

A supplier who has worked with the group for some time begins to invoice for deliveries that were short, for services that were partly performed or at rates above those agreed. Sometimes an employee who approves the supplier's invoices shares in the difference. The opportunity exists if invoices are paid on an approval that does not rest on an independent record of what was received, which is the question the answers leave open for both goods and services.

Each inflated invoice arrives through the ordinary channel, is approved by someone who did not receive the goods or confirm the service, and is paid in the normal run. Because the invoice carries an approval, it looks properly processed, and the overbilling sits among hundreds of ordinary invoices. Without a monthly review of supplier payments in every area, nobody looks at the supplier's billing as a whole, so the loss continues until a budget holder questions the spend or the supplier relationship changes.

The consequence is continuing overpayment that grows where an employee shares in it, and spend that cannot be reconciled to what the organisation actually received. The warning signs and the first response are set out alongside.

WARNING SIGNS

- Invoices without a matching receipt or delivery note
- Rates above the agreed contract
- Service invoices approved by people far from the work
- One approver for a supplier's invoices over a long period

FIRST RESPONSE

Hold payment on the suspect invoices, reconcile them to orders and receipts, and preserve the approval trail.

LASTING CONTROL

Every invoice is matched to an approved order and a recorded receipt or confirmed service before payment.

FRAUD PATHWAY · FRAUD RISK ASSESSMENT

A cloned voice or a generated document passes a control that was designed to recognise the real thing

An outsider uses readily available tools to imitate a senior person's voice, to create a convincing identity or to generate documents that look genuine. The opportunity lies in any control that depends on recognising a person or a document, and AI now makes each of those cheap to imitate.

The instruction, application or document enters through the organisation's ordinary channels. The control does exactly what it was designed to do, but the voice, face or document it recognises is fake, so a payment, an account or an approval is granted on false grounds. If the fraud risk assessment has not asked how AI could be used against each high-risk process, which is one of the two conflicting answers, the controls concerned have not been tested or redesigned for this, and nothing in their records will show that they failed.

The consequence is loss through controls that management believes are working, and a risk assessment that understates exposure in the very processes it was meant to protect. The warning signs are subtle, which is why settling the AI answers comes first.

WARNING SIGNS

- Requests that rely only on recognising a person or document
- Documents with flawless formatting from new counterparties
- Video or voice contact that avoids interaction
- Identity details that fit together too neatly

FIRST RESPONSE

Confirm the instruction or document with its source through a separate known channel, and suspend reliance on recognition-only checks in the process concerned.

LASTING CONTROL

The fraud risk assessment asks, for each high-risk process, how AI could be used against its controls, and controls that rely on recognition are tested and redesigned.

FRAUD PATHWAY · THIRD PARTIES AND SUPPLY CHAIN

A buyer splits a purchase to stay under the approval limit, and nobody looks across the orders

A buyer who wants to avoid a tender, or a supplier who deliberately submits an invoice twice, takes advantage of the fact that each order and each invoice is checked on its own. The purchase is split into several orders that each fall below the approval limit, or an invoice already paid is resubmitted with a changed number or date.

Every individual transaction is within policy, so every check passes. The pattern that would expose it exists only in the payment data, and where no senior manager reviews supplier payments as a whole, nobody examines that data. Purchases that should have gone to tender are made at uncompetitive prices, duplicate payments go unrecovered, and the loss grows with each payment run until a supplier, an auditor or a whistle-blower raises it.

WARNING SIGNS

- Several orders to one supplier just below an approval limit
- Invoices with the same amount and supplier close together
- A supplier paid more often than its contract suggests
- Orders raised and received by the same person

FIRST RESPONSE

Stop further payments on the suspect orders or invoices, recover any duplicate payment from the supplier, and preserve the order, approval and payment records.

LASTING CONTROL

A senior manager who does not process payments reviews each month's supplier payments for splitting, duplicates, unfamiliar suppliers and changed bank details, and follows up each query.

WHAT MANAGEMENT SHOULD DO FIRST

Six responses come first, and the first two settle questions about the answers

The first responses follow from the findings. Settling the answers comes first, because nothing should be built on an answer that may be wrong; the controls reported as gaps follow, because they can be designed while the answers are being settled. The table summarises the six scenarios to settle as two responses and the four controls reported as gaps as four. The full operating specification for each control, including its records and failure response, is in the supporting workbook.

FIRST RESPONSES

RESPONSE	ACCOUNTABLE EXECUTIVE	PRACTICAL OWNER	PROPOSED STAGE	SUCCESS MEASURE
Settle the answers about AI-enabled schemes	Chief executive	Fraud risk lead	30 days	The answers agree with each other and with how the process runs, and the corrected answer is recorded.
Answer the five questions the answers leave open	Chief executive	Fraud risk lead, Finance lead, HR and payroll lead and Investigations lead	30 days	Each question has a written answer from the process owner, and the assessment is corrected where needed.
Senior review of supplier payments	Chief financial officer	Finance lead	60 days	The review of supplier payments ran monthly throughout the period, and every exception it raised has a recorded answer.
Recipients checked for links	Chief executive	Ethics lead	60 days	Every donation or sponsorship in the period has a donation approval file showing the link checks completed and approved before money was committed.
Hours approved by supervisor	Chief financial officer	HR and payroll lead	60 days	Every timesheet paid in the period was approved by the employee's supervisor, against the roster or attendance record, before payment.
Losses tracked and reported	Chief financial officer	Finance lead	60 days	The review of losses of cash, stock and assets ran monthly throughout the period, and every exception it raised was reported to management with the action taken.

Responses are listed in the order the work should start, which is not a ranking of fraud risk. Stages are proposals for management's own plan, not deadlines. Full specifications, records and failure responses are in the supporting workbook.

Settling the AI answers comes first because the fraud risk assessment shapes every other control decision, and the answer will show whether AI-enabled fraud has been considered at all. The fraud risk lead owns the answer and the chief executive is accountable for it. Success is a corrected assessment in which the answers agree with each other and with how the assessment is actually carried out.

The five open questions sit with the process owners in risk, finance, payroll and investigations. Each written answer either confirms that a control reported in place can be relied on or corrects the assessment, and both outcomes are useful. The chief executive should expect every question answered within the first thirty days.

A monthly senior review of supplier payments, carried out by someone who does not process payments, closes the gap that allows split orders, duplicate invoices and changed bank details to pass unseen. The finance lead owns it, with the chief financial officer accountable, and its measure is a review that ran every month with every query answered.

Link checks before any donation or sponsorship is committed close the route by which a donation could channel a bribe to a public official, a customer's decision-maker or an employee. Section 34A of PRECCA makes the organisation itself liable when someone associated with it pays a bribe, unless it had adequate procedures, and a recorded check before each commitment is the kind of procedure that defence depends on. The ethics lead owns the checks, and every commitment in the period should have an approval file showing them completed first.

Supervisor approval of hours and overtime against the roster or attendance record, before payment, closes the route by which hours are inflated. The HR and payroll lead owns it, and every timesheet paid should carry a supervisor's prior approval.

Tracking losses of cash, stock and assets by location, reported to management each month, gives the organisation the record it currently lacks of where losses occur. It also supports the stock finding, because losses that are tracked can be compared with what the counts reveal.

A 30, 60 AND 90 DAY RESPONSE

The first ninety days settle the facts, then put the missing controls to work

The plan below sets out three proposed stages. The windows are proposals for management's own plan; they are not deadlines, contractual dates or estimates of how long any control takes to design or to show that it works. A control can be said to work only once it has met its success measure over a full operating cycle, which for some controls will fall after the ninety days.

THE FIRST NINETY DAYS, IN PROPOSED STAGES

30 days

PROPOSED STAGE

Establish the facts, name the owners and decide the order of work.

- Every answer to settle or question to clarify has a written answer
- Each open area has a named accountable executive
- The order of work is recorded with the factors behind it

OWNERS

Fraud risk lead, Finance lead, HR and payroll lead, Investigations lead, Chief executive

60 days

PROPOSED STAGE

Approve the design, owner and record for each priority control, and schedule its first operating cycle.

- Senior review of supplier payments
- Recipients checked for links
- Hours approved by supervisor
- Losses tracked and reported

OWNERS

Finance lead, Ethics lead, HR and payroll lead

90 days

PROPOSED STAGE

Start operating the priority controls and report status to the oversight body.

- Each priority control has run at least once and kept its record
- Status reported to the board

OWNERS

Chief executive, Finance lead, Ethics lead, HR and payroll lead

Windows are proposals for management's own plan. They are not deadlines, contractual dates or estimates of how long any control takes to design, put in place or show to be working. Every action, with its deliverable and completion test, is in the supporting workbook.

In the first thirty days, the work is to establish the facts and the owners. The fraud risk lead settles the AI answers, the process owners answer the open questions in writing, the chief executive names an accountable executive for each area with an open scenario, and management records the order in which the remaining work will be done and the factors behind that order.

By sixty days, the designs for the four controls reported as gaps should be approved, each with an owner and a defined record, and the first operating cycle scheduled. Any answer corrected in the first stage that reveals a further gap joins this list.

By ninety days, each control should have run at least once and produced its record, and the chief executive should report the status of every open scenario to the board. That report, rather than the original answers, becomes the position the board relies on.

BASIS OF THIS REPORT

This report rests on the organisation's own answers, read against MK's method

Every finding in this report rests on answers given by the organisation's respondent and by the functions to which questions were referred. MK has not examined documents, interviewed staff or tested any control, and the records named in the report are records that management should maintain rather than evidence that MK has reviewed. Independent examination of whether controls operate belongs to MK Advisory, which is scoped and priced separately.

Answers are read together as well as one at a time. Where a control is reported in place, the answers about practices that defend against the same scenario were compared with it under a reviewed table of relationships, 56 comparisons in this assessment. A pair is treated as a contradiction only where review has established that the two answers describe the same fact and cannot both be true; where review found that both could be right, the report asks a question instead of drawing a conclusion. Answers given as "not known" or declined are reported as outstanding and never as weaknesses; in this assessment none remained.

The position is stated in four parts with the executive summary: what was calculated, what is inconsistent, how the answers read and what MK concludes. Findings and responses are selected and ordered by the rules stated where they appear, not by a ranking of fraud risk.

PROTOTYPE NOTICE: WHAT A RELEASED REPORT ADDS

ELEMENT	IN A RELEASED REPORT	IN THIS EDITION
Readiness conclusion	Issued under MK's approved readiness method, with the score and level that method defines.	Calculated result shown as a labelled test fixture; no level or band issued (decision D-1).
Order of work	Set by MK's approved decision method.	Ordered by the explicit factors stated in the report, a candidate method (decision D-3).
Control specifications, pathways and decision options	MK-approved advisory content.	Draft content from MK's control-content library, scenario structures and decision options (decision D-5).
Manuscript	Written by the production AI writer from this fact pack, then validated.	Written in-session under the same writer contract and validated by the same checks; the production AI run is a blocked acceptance test.

MANAGEMENT CONCLUSION

The group's controls may well be as strong as reported, and the next ninety days should show whether they are

The most important thing for the group to recognise is that its answers, taken at face value, describe a stronger control environment than the detail behind them yet supports. That is not evidence that controls are missing. It is evidence that several of them have not been examined closely enough for management to know how they run, and that the instruments which would normally reveal this, the fraud risk assessment and independent review, are themselves where the doubts lie.

A small number of changes will settle the position. Settling the AI answers and answering the open questions will either confirm the position or correct it. Extending the senior review of supplier payments, checking donation recipients, approving hours before payment and tracking losses by location will close the four gaps that the answers do report. Deciding how procurement and payroll will be examined independently will keep the position honest once it is settled.

Within ninety days, every answer in doubt should have a written resolution, every open area should have a named accountable executive, the four missing controls should be designed and operating, and the board should have received a status report built on settled answers. At that point the group will know whether its controls are as strong as it reported, and it will have the records to show it.

The sensible next step, once the answers are settled, is an independent look at the controls the organisation relies on most. That can come from a manager outside the area, from internal audit, or from an MK Advisory engagement that examines the records and walks through the processes, which this assessment by its nature cannot do.

Fraud strategy, readiness and operational resilience.

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This report was prepared for the management of Fictional Retail Group (overstated confirmations) on the basis of the organisation's own answers to the MK Fraud Readiness assessment. It is confidential to the organisation. MK Fraud Insights is a trading name of Stonda (Pty) Ltd. Fictional prototype for MK review; not a customer report.